

Before investing in microcap stocks, there are several important factors that i look at. Here's a list of few:

1. **Company Fundamentals:** Go to the following link: screener.in. Research the company's financial health, including revenue, earnings, and cash flow. Look at the balance sheet and income statement to assess its stability. Following are the fundamentals that looks good to me before taking entry in any stock-
 - $Pe < 28$
 - Dividend Yield = good to have, not necessary by any means.
 - $Roce > 20\%$
 - $Roe = 16\%$ is good , above 18% is great.
 - $Roa = > 4-5\%$
 - Roa for banks / Nbfcs = above $2-2.5\%$ is great !!
 - $FV =$ Great if its 10rs
 - Debt to equity = below 1
 - Industry PE = above 35
 - $Mcap$ to sales = the cheaper the better, below 2 is a steal.
 - Debt = Short term borrowings should be more than long term.
 - Equity shares capital and shares = The lower the better (Eg: International Combustion - 24L shares)
 - Balance sheet (other asset) side = Inventories + Trade Receivables should not be more than 40% of annual sales.
2. **Management Team:** Examine the background and experience of the company's management team. Promoter background, their interviews on youtube, LinkedIn profile, their education background, past entrepreneurial pursuits, their socials. Strong leadership is crucial for microcap success.
3. **Business Model:** Understand the company's business model and its competitive advantage in the market. What sets it apart from competitors? Read their DRHP, RHP, Last 3 years annual report, Concall report, Investor presentation from screener.in , BSE/NSE Website (if available)
4. **Market Potential:** Analyze the market the company operates in. Is it growing, and what is the potential for future growth? Study Industry, segment CAGR growth, tailwinds, orders book, cycle of the market, government policies & orders. Note- If your company is growing faster than the industry growth, it is acquiring market share– it means its a winner & vice versa. For example, if FMCG sector is growing at $12-15\%$ and if your company is growing at 20% , its better to stay invested in such stocks.

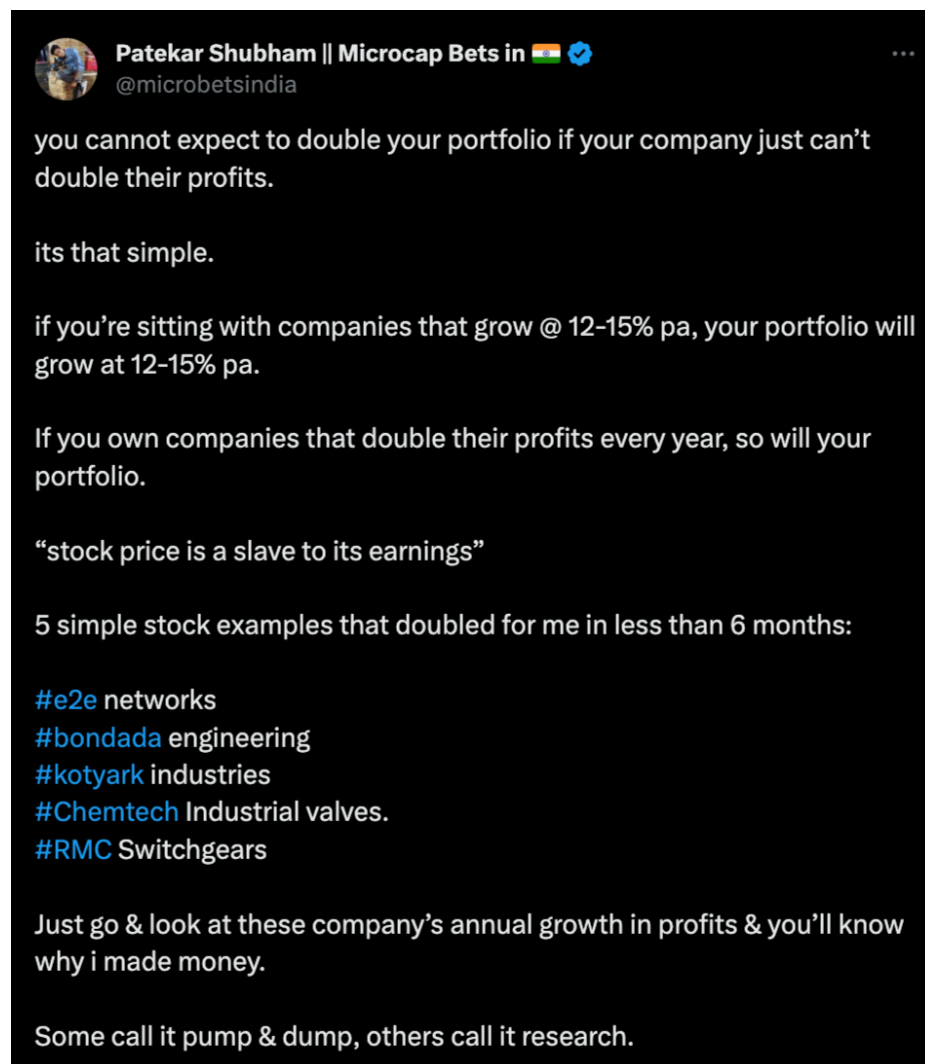
5. **Valuation:** Evaluate the stock's valuation to determine if it's overvalued or undervalued. Compare price-to-earnings (P/E) ratios with industry peers.
6. **Liquidity:** Microcap stocks can be illiquid, meaning they may have low trading volumes. Consider whether you can buy or sell shares without affecting the stock price significantly. Look for stocks with low equity shares float, with big people holding stakes (better if 80%+ is in strong hands). Anything below 1cr shares can be easily cornered.
7. **Risk Tolerance:** Microcap stocks are often more volatile and riskier than larger-cap stocks. Assess your risk tolerance and investment horizon.
8. **Regulatory Compliance:** Ensure the company complies with regulatory requirements and is transparent in its financial reporting. Study their CFO, audit reports
9. **Research Sources:** Gather information from various sources, including financial news, analyst reports, and the company's official filings. (analyst reports will not be available for SME companies). Look for conversations happening on Forums, X spaces, X threads, scuttlebutt with friends, google, youtube etc.
Remember- Suno sabki, Karo apni. (Listen to everyone but do what makes sense to you)
10. **Diversification:** Avoid putting all your money into a single microcap stock. Diversify your portfolio to spread risk.
PS- I am a concentrated investor, i do not hold more than 8-10 stocks at any given time. But this can be different for each investor- depending on your corpus size, financial goals, timeline and knowledge/experience.
11. **Exit Strategy:** Have a clear exit strategy in mind. Decide under what conditions you will sell the stock, whether for profit or to limit losses. Target Market Cap multiples. For example, if you buy at 200cr Mcap, you can keep a target of lets say 2000cr Mcap.
12. **Long-Term vs. Short-Term:** Determine whether you're looking for short-term gains or are willing to hold the stock for the long term. If the companies run up too fast too soon & earnings fail to match up, lock-in the gains. Remember- only sell if you start feeling uncomfortable about your company's earnings. This happens when company'e PE becomes irrational big like 200x - 300x.
13. **Due Diligence:** Conduct thorough due diligence before investing, including reading the company's annual reports, researching news articles, and understanding the

industry. You can visit the factory or meet promoters even if you hold 1 share, this depends on the how humble the management is. You can always try your luck.

14. **Beware of Scams:** Microcap stocks are sometimes targets for pump-and-dump schemes. Be cautious of unsolicited investment advice or too-good-to-be-true opportunities.

15. **Consult a Financial Advisor:** Consider seeking advice from a financial advisor specializing in small-cap and microcap investments.

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Valuations are by far one the most crucial aspects- but not for a company with lets say- 200cr market cap,

one good decision by the management and the mkt cap could jump to 500cr in the preceding quarter.



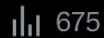
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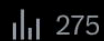
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But this is tough to happen with Large/mid cap stocks

meaning alot of time, effort & decisions have to align in order for a 20,000 cr market cap company to move to 50k mkt cap!



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PE is a factor of earnings.

If you can see earnings visibility, TTM Pe becomes delusional.

Forward PE calculations- if gone right, hold the capacity to make you a fortune.

Very few investors will understand this.

DISCLAIMER

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